Manufacturing and North Carolina's Economy

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The manufacturing industry experienced significant shifts over the last quarter century. In 2000, almost 20% (19.7%) of all employment in North Carolina was in manufacturing (Figure 1). By 2024, that share had fallen to just 9.5%, representing a more than 10 percentage point decrease in relative importance. Manufacturing dependence was, unsurprisingly, unevenly distributed across the state. Sixty-one out of one hundred counties had 20% or more of their employment in manufacturing in 2000. Of those, 24 had between 20% and 30% of their employment in manufacturing, 20 had between 30% and 40%, 8 had between 40% and 50%, and 9 had over 50%.

Table 1 shows that overall manufacturing employment was 757,711 in 2000 and has steadily declined over the last quarter century, eventually reaching 465,639 in 2024. That decline represents a 38.6% decrease in absolute employment levels. The transformation was equally dramatic when measured by manufacturing's share of total employment. By 2024, only 21 counties had manufacturing employment exceeding 20% of total employment, and no counties had more than 50% of employment in manufacturing—a stark contrast to the nine counties that exceeded this threshold in 2000.

Table 1: Manufacturing Employment by Year in North Carolina

Year	Manufacturing Employment
2000	757,711
2001	704,144
2002	643,695
2003	601,464
2004	579,908
2005	569,146
2006	553,483
2007	538,140
2008	515,438
2009	448,407
2010	431,622
2011	434,767
2012	439,618
2013	442,519
2014	448,715
2015	461,030
2016	464,586
2017	467,306
2018	474,932
2019	477,086
2020	452,637
2021	464,007
2022	473,254
2023	469,557
2024	465,639

How Significant Are the Declines in Manufacturing Dependence Across Counties?

Figure 2 examines the manufacturing share of employment for the counties that had the top 20 highest shares in 2000 and how those shares changed through 2024. Out of those top 20 counties, 19 experienced more than a 10 percentage point decrease in the share of employment in

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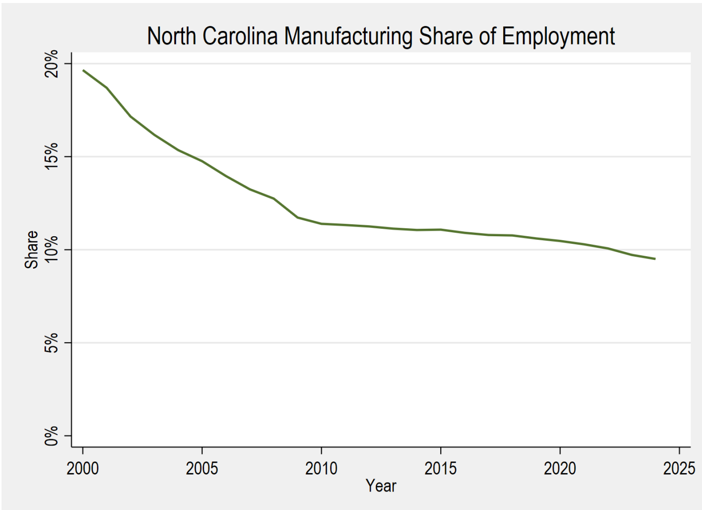

Figure 1: Share of Manufacturing Employment in North Carolina Between 2000 and 2024

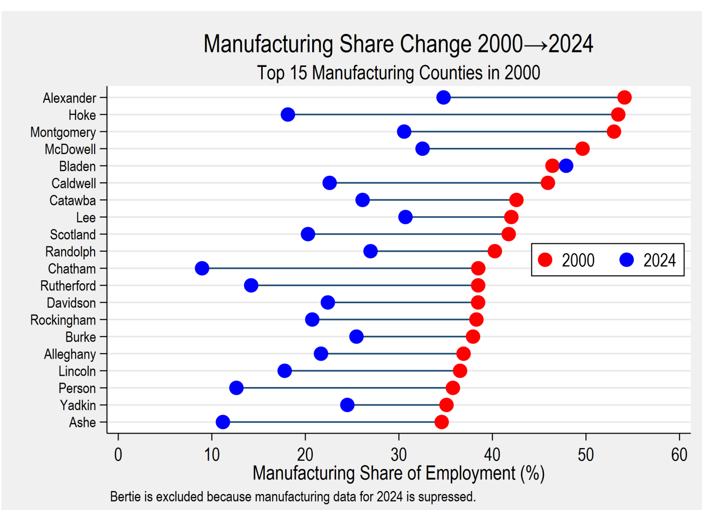

Figure 2: Manufacturing Share Change: Top 15 Counties

manufacturing. Only Bladen County maintained essentially the same share of its employment in 2024 (47.9%) as in 2000 (46.4%).

Table 2 reveals the magnitude of this transformation. The top 10 counties in 2000 all had more than 40% of their employment in manufacturing. By 2024, only Bladen still had more than 40% of its employment in manufacturing. Four of the top 10 had fallen to manufacturing shares below 30%, indicating substantial economic restructuring in these formerly manufacturing-dependent communities.

Beyond the top 20 counties, we classify all counties into four groupings (Figure 3): large declines (more than 15 percentage points), moderate declines (between 5 and 15 percentage points), stable (below 5 percentage points), and growth (an increase of 5 percentage points or more). Sixty-eight out of the 100 counties experienced more than a 5 percentage point decrease, while another 25 experienced a moderate decline of 5 percentage points or less. Only two counties experienced an increase in manufacturing dependence.

The scale of individual county declines was often dramatic. Alexander County, which had the highest manufacturing share in 2000 at 54%, experienced an almost 20 percentage point decrease. Hoke County saw a 35.5 percentage point decrease, and Montgomery County declined by 22.4 percentage points. These declines reflect not only the loss of manufacturing jobs but also growth in other sectors that diluted manufacturing's relative importance in county economies.

Table 2: Top 10 Counties by Manufacturing Employment Share in North Carolina

Rank	County	Mfg Share	Mfg Emp	Total Emp	Mfg Index
Panel A: Year 2000					
1	Alexander County	0.54	5,837	10,784	100
2	Hoke County	0.53	2,786	5,211	100
3	Montgomery County	0.53	6,193	11,685	100
4	McDowell County	0.50	8,804	17,735	100
5	Bladen County	0.46	6,072	13,080	100
6	Caldwell County	0.46	15,977	34,782	100
7	Catawba County	0.43	43,136	101,324	100
8	Bertie County	0.42	2,821	6,674	100
9	Lee County	0.42	11,790	28,056	100
10	Scotland County	0.42	7,539	18,063	100
Panel B: Year 2024					
1	Bladen County	0.48	6,436	13,440	106
2	Alexander County	0.35	2,958	8,507	51
3	Duplin County	0.34	6,642	19,428	102
4	McDowell County	0.33	4,994	15,351	57
5	Lee County	0.31	8,497	27,670	72
6	Montgomery County	0.31	2,669	8,731	43
7	Lenoir County	0.28	8,017	29,066	146
8	Randolph County	0.27	11,807	43,779	57
9	Yancey County	0.26	1,226	4,651	80
10	Catawba County	0.26	23,352	89,403	54

Notes: Manufacturing share represents the proportion of manufacturing employment to total employment. Manufacturing employment index is normalized to 100 for each county's baseline year (2000).

Figure 4 highlights both the rare success stories and the most severe declines. The top gainers in manufacturing share were Washington County (13.7 percentage point increase), Lenoir County (9.2 percentage point increase), Duplin County (2.6 percentage point increase), and Hyde County (1.5 percentage point increase). Washington County's experience is particularly notable, as its manufacturing share increased from 7.8% to 21.5% between 2000 and 2024. These counties demonstrate that manufacturing growth, while rare, remains possible, though such outcomes represent clear exceptions rather than the norm.

Figure 5 ranks counties by their initial manufacturing dependence in 2000 to illustrate the relationship between starting position and subsequent change. Ten of the 20 most manufacturing-dependent counties in 2000 experienced declines exceeding 20 percentage points by 2024. This pattern, perhaps unsurprisingly, suggests that higher initial manufacturing concentration was associated with greater vulnerability to the structural shifts affecting the sector.

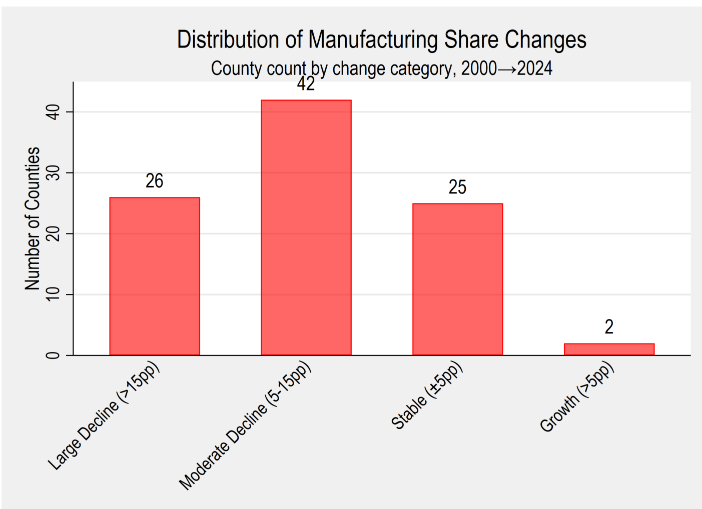

Figure 3: Distribution of Manufacturing Share Change

Manufacturing Dependence and Overall Employment Outcomes

Figure 6 examines the relationship between initial manufacturing concentration in 2000 and subsequent changes in manufacturing share. Counties with significant manufacturing presence experienced the most significant declines in manufacturing's relative importance. This negative relationship indicates that counties most dependent on manufacturing faced the greatest challenges in maintaining that industrial base, whether through absolute job losses in manufacturing or through faster growth in other sectors.

A critical question for economic development policy

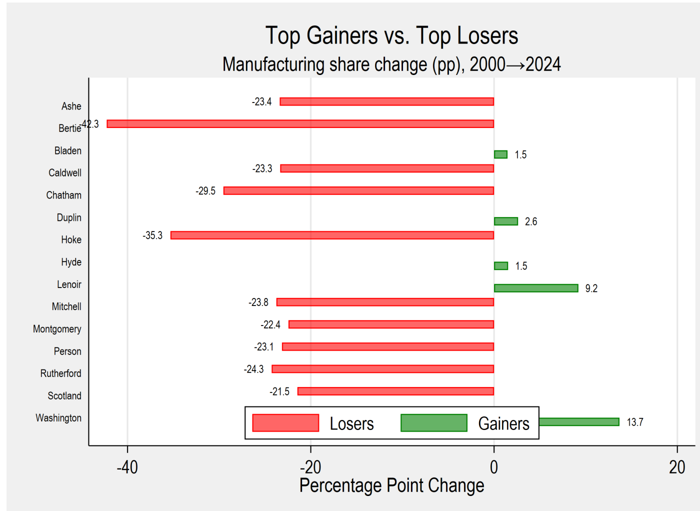

Figure 4: Top Gainers vs. Top Losers (Manufacturing Share Change: Percentage Point Change 2000 vs. 2024)

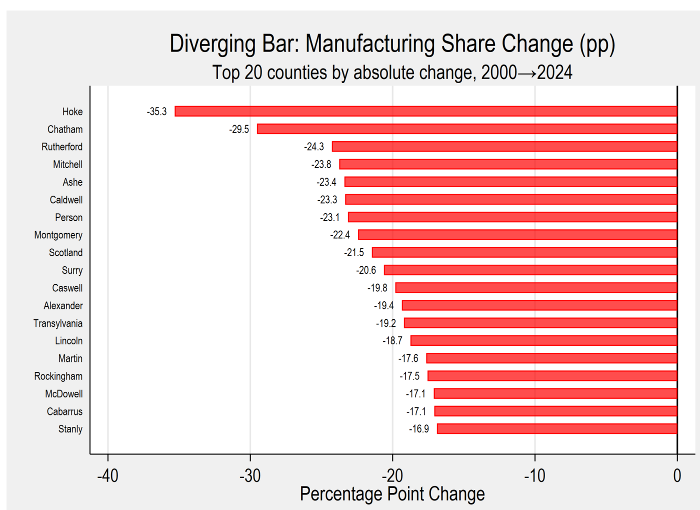

Figure 5: Manufacturing Share Change (Percentage Points: 2000 to 2024)

is whether manufacturing dependence in 2000 predicted overall employment growth through 2024. Figure 7 plots county rank by manufacturing share in 2000 against total employment growth over the period. The most manufacturing-dependent counties generally experienced negative overall employment growth. Only four of the top 20 most manufacturing-dependent counties saw positive employment growth over this period.

Across all counties, 49 out of the 100 counties experienced negative employment growth between 2000 and 2024. Counties that lost employment had an average manufacturing rank of 35 in 2000, indicating relatively high manufacturing dependence. In contrast, counties that gained employment had an average manufacturing rank of 61, suggesting lower initial manufacturing concentration. This pattern reveals a weak positive correlation (r = 0.26) between manufacturing employment growth and overall employment growth.

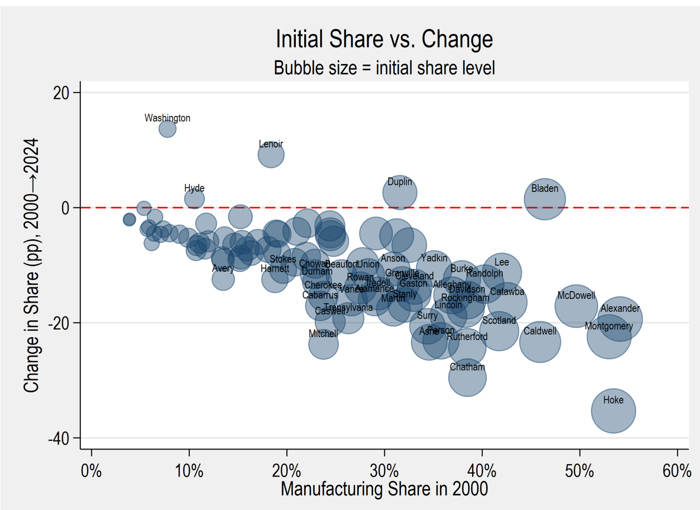

Figure 6: Initial Manufacturing Share in 2000 vs. Change in Share (Percentage Points)

Implications for Manufacturing Revival Efforts

There has been considerable debate about whether it is possible to revive the manufacturing industry. This analysis documents how manufacturing dependence changed across North Carolina counties over the past quarter century, revealing both the scale of decline and the rare instances of growth.

For counties that experienced severe manufacturing declines, the historical pattern offers both caution and guidance. The data show that simply attempting to restore manufacturing to its year 2000 share would require overcoming substantial structural headwinds. Counties like Alexander, Hoke, and Montgomery would need to

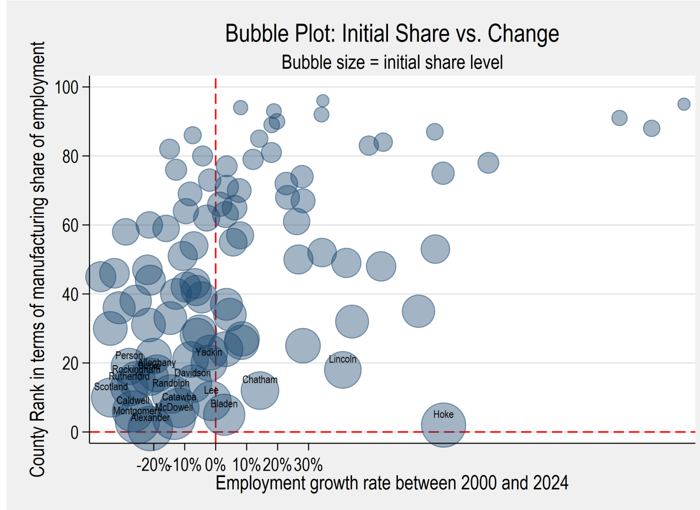

Figure 7: Employment Growth and Manufacturing Rank

more than double their current manufacturing employment—and do so while other sectors remain static—to return to 2000 levels of manufacturing dependence.

However, the experiences of Washington, Lenoir, and Duplin counties demonstrate that manufacturing growth remains achievable under the right conditions. These counties increased their manufacturing employment even as the statewide trend moved in the opposite direction. Their success suggests that targeted investments in modern manufacturing sectors, workforce development aligned with current industry needs, and strategic infrastructure improvements can attract and retain manufacturing operations.

The rather weak correlation between manufacturing growth and overall employment growth (r = 0.26) carries important implications for economic development strategy. While manufacturing can contribute to a county's economic growth, the data suggest that economic diversification, rather than single-sector dependence, offers more reliable paths to employment growth. Counties that successfully expanded employment did so by developing multiple economic sectors simultaneously, reducing their vulnerability to industry-specific shocks.

For policymakers in manufacturing-dependent counties, these patterns suggest a balanced approach: pursuing opportunities in advanced manufacturing where competitive advantages exist, while simultaneously investing in economic diversification to build resilience. The historical record shows that counties betting exclusively on manufacturing revival face challenging odds, while those developing diverse economic bases have demonstrated more consistent employment growth.

Understanding these patterns is essential for policymakers considering economic development strategies and workforce planning in both manufacturing-dependent and diversified economies. The path forward likely involves recognizing manufacturing's continued but diminished role in North Carolina's economy while building the infrastructure, workforce capabilities, and business environments that support growth across multiple sectors.